

the dividend cheques upon the bankers in favour of the creditors, and delivered them to B., who undertook to affix his signature, and deliver them to the creditors, and B. accordingly signed the cheques, and placed them in his desk, whence they were stolen, and presented at the bank, and paid; on an application to the Court to make A. answerable, Sir J. Leach was of opinion that the delivery of the cheques by A. to B. as his co-assignee, was an act done of necessity in the course of business, and that he was not responsible for the subsequent loss of the cheques (*b*).

[**Re Speight.** — So where a trustee employed a broker in the ordinary course of business, to invest trust funds in proper securities authorized by the trust, and on receipt of the bought note handed over a cheque for the purchase-money to the broker, who misappropriated it, the trustee was not liable to make good the loss (*c*). But a trustee negotiating with a municipal corporation through a broker, for a *direct loan* to them, would not be justified in handing over the money to the broker for payment to the corporation, for “there would be no moral necessity or sufficient practical reason from the usage of mankind or otherwise,” to justify such a course (*d*).]

7. **Ex parte Townsend.** — But where the assignees of a bankrupt employed an *attorney* to recover debts due to the estate, and the attorney brought actions and received the money and absconded, Sir A. Hart held them accountable on the ground that there was *no necessity* for permitting the attorney to receive one shilling of the money recovered further than his costs, and laid it down, that if the attorney received the * money one day and become [*256] insolvent the next, the assignee would be liable. And his Lordship said the same point had been decided in an unreported case before Lord Eldon (*a*). Trustees, undoubtedly must not let the money *lie* in the hands of the

(*b*) *Ex parte Griffin*, 2 Gl. & J. 114; and see *Wackerbath v. Powell*, Buck, 495; S. C. 2 Gl. & J. 151; *Kilbee v. Sneyd*, 2 Moll. 186.

[(*c*) *Re Speight*, 22 Ch. D. 727; 9 App. Cas. 1.]

[(*d*) *Re Speight, ubi sup.*]

(*a*) *Ex parte Townsend*, 1 Moll. 139; see *Anon. case*, 12 Mod. 560; *Re Fryer*, 3 K. & J. 317.